9. Income Taxes:

The provision for income taxes during the years ended December 31, 2007, 2006 and 2005 consists of the following:

	2007	2006	2005
Domestic:			
Current	$ —	$ —	$ 30,954
Deferred	(2,920,000)	(1,457,000)	(1,276,000)
	(2,920,000)	(1,457,000)	(1,245,046)
Foreign:			
Current	15,000	—	48,813
Deferred	(97,000)	(616,000)	(652,000)
	(82,000)	(616,000)	(603,187)
Total Domestic & Foreign	(3,002,000)	(2,073,000)	(1,848,233)
Change in Valuation Allowance	3,017,000	2,073,000	1,928,000
	$ 15,000	$ —	$ 79,767

As discussed in Note 2, the Company reports under SFAS No. 109. Deferred income taxes reflect the impact of temporary differences between the amounts of assets and liabilities for financial reporting purposes and such amounts as measured by tax laws.

The United States and foreign components of loss before income taxes were as follows:

	For the Years Ended December 31,		
	2007	2006	2005
United States	$ (8,290,664)	$(3,809,777)	$(3,790,523)
Foreign	(3,268,111)	(2,986,307)	(1,853,468)
	$(11,558,775)	$(6,796,084)	$(5,643,991)

The temporary differences that give rise to a significant portion of the deferred income tax asset as of the year ended December 31, 2007 and 2006 are as follows:

Table of Contents

	2007	2006
Net Operating Loss Carryforwards	$ 6,746,000	$ 3,970,000
Stock Based Compensation	713,000	442,000
Other Receivables & Accrued Expenses	410,000	517,000
Less: Valuation Allowance	(7,869,000)	(4,929,000)
Net Deferred Tax Asset	$ —	$ —

For the years ended December 31, 2007 and 2006, a valuation allowance for deferred tax assets of $7,869,000 and $4,929,000, respectively, has been established to reduce the deferred tax assets to amounts estimated by management to be realizable.

The reconciliation of the statutory tax rate to the Company's effective tax rate is as follows:

	2007	2006	2005
Federal Statutory Income Tax Rate	34.00%	34.00%	34.00%
State Statutory Income Tax Rate	5.11%	4.00%	4.00%
Permanent Items & Other	(13.13%)	(5.00%)	(5.00%)
Foreign Income Tax Rate	33.00%	33.00%	33.00%
Foreign Net Operating Losses Not Carried Forward	(33.00%)	(33.00%)	(33.00%)
Less: Change in Valuation Allowance	(26.11%)	(34.00%)	(34.00%)
Effective Tax Rate	(0.13%)	(1.00%)	(1.00)%

For the year ended December 31, 2007, the Company has net operating loss carryforwards for federal and state income tax purposes of approximately $14,105,000, which are available to offset future federal and state taxable income, if any.

The domestic federal and state operating losses expire as follows:

Year of Expiration	Federal Operating Losses	State Operating Losses
2024	$ 1,398,000	$ 1,398,000
2025	3,413,000	3,413,000
2026	2,639,000	2,639,000
2027	6,655,000	6,655,000
	$14,105,000	$14,105,000

The Company’s income tax provision and related reserves are based on management’s current estimates and such estimates may require adjustments in the future based on management’s evaluation of conditions and circumstances in effect at that time. The Company has net operating loss carryforwards of $6,262,000 for China which are available to offset taxable income if any. China provides net operating loss carryforwards for five years.